

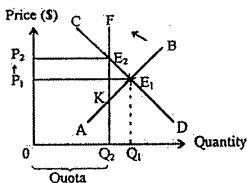
## 8.2 QUOTA

## MARKING SCHEME

|                    |                          |                          |                          |                          |
|--------------------|--------------------------|--------------------------|--------------------------|--------------------------|
| 1993/CE/II/53<br>B | 1999/CE/II/45<br>A       | 2006/CE/II/10<br>B (52%) | 2010/CE/II/13<br>B (63%) | 2017/DSE/I/24<br>A (69%) |
| 1994/CE/II/12<br>B | 2000/CE/II/49<br>B       | 2007/CE/II/08<br>B (62%) | 2012/DSE/I/19<br>B (56%) | 2019/DSE/I/14<br>A       |
| 1994/CE/II/13<br>D | 2005/CE/II/10<br>C (39%) | 2008/CE/II/09<br>C (54%) | 2013/DSE/I/19<br>B (59%) | 2019/DSE/I/15<br>B       |
| 1999/CE/II/07<br>A | 2005/CE/II/48<br>D (46%) | 2009/CE/II/12<br>B (78%) | 2014/DSE/I/23<br>C (66%) | 2019/DSE/I/16<br>C       |
| 2020/DSE/I/16<br>A | 2024/DSE/I/15<br>C       | 2025/DSE/I/17<br>D       | 2025/DSE/I/45<br>A       |                          |

*Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.*

1997/CE/I/10(b)



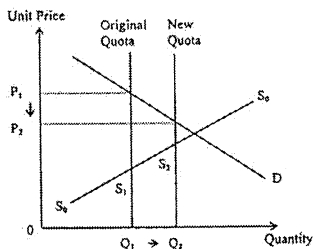
Indicate in the diagram:

- original supply curve AB (1)
- quota  $\Rightarrow Q_1 \rightarrow Q_2$  (1)
- new supply curve (AK +) KF / quota quantity (1)
- new market price  $P_2$  (1)

Elaboration:

- The supply of imports decreases, because the effective quota quantity is smaller than the initial equilibrium quantity. (2)
- The market price increases. (1)
- The import volume decreases. (1)

1998/CE/I/2



Indicate in the diagram:

- quota  $\uparrow$  (1)
- $P \downarrow$  (1)

Elaboration:

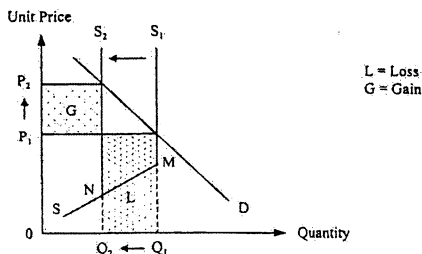
The supply of imports increases.

The market price falls.

2001/CE/I/9(b)

(1)

(1)



Indicate in the graph:

- correct supply curve to show the original quota is effective

-  $S_1$  shifts leftward to  $S_2$

- loss > gain

(1)

(1)

(2)

Verbal explanation:

The supply decreases.

After reduction of quota quantity, the quantity transacted decreases and the price increases.

The condition is that the demand is elastic,

the percentage change in quantity demanded is larger than the percentage change in price.

(1)

(1)

(1)

(2)

2008/CE/I/11(b)

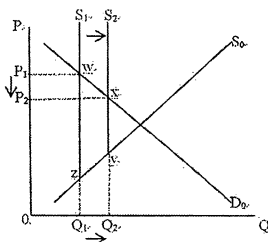
There was quality improvement in Hong Kong-made garments.

(Because one unit of quota must be used for one unit of garment regardless of garment quality, and because the quota has a positive value,) the price of higher quality garment fell relative to lower quality garments under the quota system.

(1)

(1)

2015/DSE/II/3



Indicate on the diagram:

- rightward shift of the supply curve corresponding to an increase in quota

- a reduction in  $P$  and a rise in  $Q$

- correct position for the reduction in deadweight loss (area  $wxyz$ )

(1)

(1)

(1)

Verbal elaboration:

Yes (I agree), because

the increase in effective quota would raise the supply and thus raise the quantity transacted and reduce the price, and the gap between marginal benefit and marginal cost is reduced as the quantity produced is increased toward its efficient level.

(1)

(1)

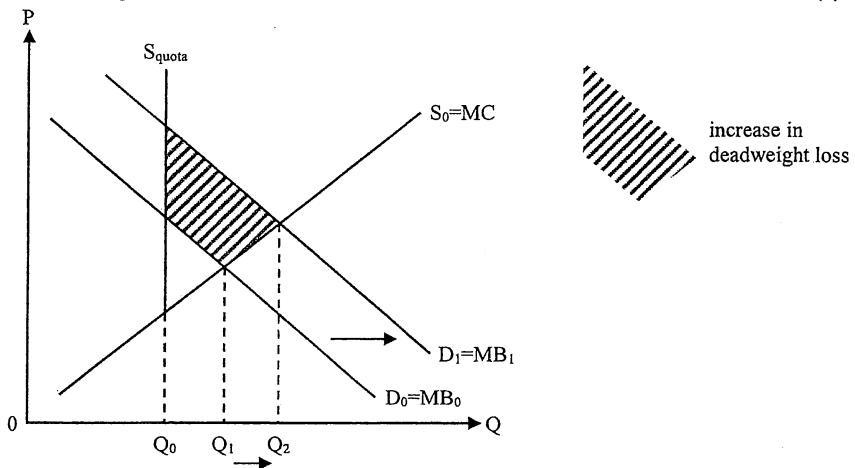
(1)

## 8.2 QUOTA

2024/DSE/II/3

Verbal elaboration:

- Economic growth implies an increase in income, which would raise the demand for automobiles, given that automobiles are normal goods. (1)
- The gap between marginal benefit and marginal cost increases. / The efficient quantity increases from  $Q_1$  to  $Q_2$  and diverges further from the quantity transacted ( $Q_0$ ). (1)
- The deadweight loss increases. (1)



Indicate in the diagram:

- Kinked supply curve under quota (1)
- Rightward shift of demand curve (1)
- Increase in deadweight loss (1)